

How to Choose the Right Stock to Purchase

Lesson 5: Fundamental Analysis Basics

Fundamental Analysis Basics – Study Notes

Key Concepts

1. ****Earnings (Net Income)**** – The profit a company generates after all expenses and taxes.
2. ****Revenue (Sales)**** – Total amount of money earned from core business activities before any costs are deducted.
3. ****Debt Levels**** – The amount of borrowed money a company carries; important ratios include Debt to Equity (D/E) and Debt to EBITDA.
4. ****Price to Earnings (P/E) Ratio**** – A valuation metric that compares a company's current share price to its earnings per share (EPS).
5. ****Overall Financial Health**** – The combined picture created by evaluating earnings, revenue trends, debt burden, and valuation multiples.

Summary

Fundamental analysis is the process of evaluating a company's intrinsic value by examining its financial statements and key performance metrics. The most common starting points are earnings and revenue, which reveal how much money a business is making and how that income is trending over time. Strong, growing earnings and revenue generally indicate a healthy, competitive operation.

Debt is the other side of the balance sheet equation. While leverage can amplify returns, excessive debt raises financial risk, especially if cash flow is insufficient to cover interest payments. Analysts therefore look at debt ratios and the company's ability to service its obligations.

The price to earnings (P/E) ratio ties market perception to earnings. A high P/E may suggest that investors expect strong future growth, whereas a low P/E could signal undervaluation or underlying problems. By comparing a firm's P/E to its historical range, industry peers, and the broader market, analysts can gauge whether the stock is fairly priced.

Putting earnings, revenue, debt, and P/E together provides a snapshot of a company's financial health and helps investors decide whether a stock is a good buy, hold, or sell.

Important Points

- ****Earnings****
 - Net income = Revenue – Expenses – Taxes.
 - Look for consistent growth and margins (gross, operating, net).
- ****Revenue****
 - Top line figure; growth indicates market demand and pricing power.
 - Seasonal or cyclical patterns matter; compare YoY and QoQ changes.
- ****Debt****

- **Debt to Equity (D/E)** = Total Debt ÷ Shareholders' Equity.
- **Debt to EBITDA** measures ability to pay off debt with operating cash flow.
- High leverage can be acceptable in capital intensive industries if cash flow is strong.
 - **P/E Ratio**
- P/E = Share Price ÷ Earnings Per Share (EPS).
- Use **Trailing P/E** (based on last 12 months) and **Forward P/E** (based on analysts' earnings forecasts).
- Compare to:
 - Company's historical P/E range.
 - Industry average P/E.
 - Overall market P/E (e.g., S&P 500).
 - **Interpreting the Mix**
- Strong earnings + low debt + reasonable P/E !' generally healthy.
- High earnings but skyrocketing debt !' risk of solvency issues.
- Low P/E with weak earnings may indicate a value trap.

Examples

Example 1 – Tech Company A

Metric	Value	Interpretation
Revenue (YoY growth)	+15%	Growing demand for products
Net Income (EPS)	\$3.20, up 12% YoY	Earnings expanding, healthy margins
Debt to Equity	0.4	Low leverage, comfortable balance sheet
P/E (Trailing)	22x	Slightly above industry average (20x) – reflects growth expectations

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Takeaway: Company A shows solid top line growth, improving earnings, low debt, and a modestly premium valuation—generally a healthy candidate for investment.

Example 2 – Retailer B

Metric	Value	Interpretation
Revenue (YoY growth)	–3%	Sales declining, possibly competitive pressure
Net Income (EPS)	\$0.80, down 30% YoY	Earnings deteriorating sharply
Debt to Equity	2.5	High leverage, risk of cash flow strain
P/E (Trailing)	8x	Low valuation, but may reflect market concerns

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Takeaway: Retailer B's shrinking revenue, falling earnings, and high debt suggest financial stress. The low P/E could be a warning sign rather than a bargain.

Quick Review

1. **What does a rising P/E ratio indicate, and why must it be compared to industry peers?**
2. **Why is debt to equity an important metric when assessing a company's risk profile?**
3. **If a company's revenue is growing but its net income is falling, what might be happening?**

4. **How would you differentiate between a “value trap” and a genuinely undervalued stock using earnings and P/E?**

5. **Name two situations where high leverage could be justified.**

Further Reading

- **Financial Statements 101:** Income Statement, Balance Sheet, Cash Flow Statement.
- **Ratio Analysis:** Gross margin, operating margin, Return on Equity (ROE).
- **Growth vs. Value Investing:** How P/E fits into each style.
- **Industry Specific Metrics:** Same store sales for retailers, subscriber growth for SaaS, etc.
- **Discounted Cash Flow (DCF) Basics:** Turning earnings and cash flow into intrinsic value.

